Taiwan Union Technology

6274.TWO | Taipei Exchange (TPEx) | 2026-10-07

Q4 2027 model ceiling: TWD 2,540.54

Analytical Base 43/60 = 72 | Watchlist / Materials beneficiary

20x forward-four-quarter operating profit divided by starting-quarter diluted shares. Labeled quarter plus next three; no net-cash addition.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

Snapshot: TWD 1,755.00 on 2026-10-06. Model diluted shares at Q3 2026: 303.159m. Indicative diluted capitalization: TWD 532,044.5m. Quote and share dates/bases may differ; legal shares are reconciled in the analysis.

All operating values are in TWD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	38,985.7	20x	306.909	2,540.54

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Probabilities have already been applied to the operating forecast; they are not applied again to the valuation.

Thesis

Taiwan Union Technology (TPEx: 6274) supplies copper-clad laminates and prepregs used by PCB manufacturers. Its opportunity is the transition toward lower-loss material in AI servers, switches, backplanes and high-speed communications. The relevant bottleneck is qualified, saleable material with acceptable electrical performance, processing reliability and yield. It is not simply total sheets of laminate.

The company's invoice is a material sale. It does not collect the full PCB, substrate, optical module or switch price. More layers, more board area and a richer recipe can all raise the laminate content, but those effects overlap inside the same sales path.

What the engineering evidence supports

The official ThunderClad 5Q product specification identifies TU-953Q core and TU-953QN prepreg. Typical dissipation factor is 0.00074 and dielectric constant 2.99 at 10 GHz with 70% resin content. The company describes compatibility with modified FR-4 processes, high-layer-count construction and demanding thermal reliability. Those conditions matter: a material coupon result is not a guaranteed complete-board insertion-loss result, nor proof that a particular customer has qualified the product.

The commercial attraction is a material that limits signal loss without imposing an uneconomic manufacturing process. Lower loss can preserve channel reach and signal margin as data rates increase. Thermal stability, dimensional control and through-hole reliability remain essential, because a material that performs well electrically but creates poor board yield can destroy the customer's economics.

EMC, Doosan, Shengyi, Panasonic and other suppliers offer competing recipes. Relative advantage depends on the complete customer's stack-up and process. BofA's October 5 research leaves the hydrocarbon versus PTFE choice unresolved for the highest grades. A change in recipe can alter both the preferred laminate supplier and the reinforcement or foil required. Taiwan Union's present capabilities therefore support a probability-weighted opportunity, not an automatic platform award.

The issuer announced an October 21 presentation on M10/M11 material technology, including resin systems, reinforcement and hybrid construction. The notice was published September 8. It is an upcoming technical event, not evidence that M10/M11 products are already in mass production. It belongs in the qualification roadmap and catalyst list.

The actual operating base

Audited 2025 revenue was NT$30.340 billion, gross profit NT$6.898 billion and operating profit NT$4.344 billion. Net profit attributable to the parent was NT$3.409 billion, or NT$12.13 basic EPS.

The June 2026 quarter generated NT$14.301 billion of revenue, NT$4.250 billion of gross profit and NT$3.358 billion of operating profit. Gross margin was approximately 29.72%, compared with the much lower 2025 full-year margin. Quarterly operating expense was NT$0.892 billion: selling NT$0.474 billion, administration NT$0.298 billion, research NT$0.118 billion and a small credit expense. Parent net profit was NT$2.342 billion, with basic EPS of NT$8.02 and diluted EPS of NT$7.76.

First-half revenue was NT$24.355 billion and operating profit NT$5.185 billion. First-half basic EPS is NT$12.40 in the reviewed filing. Summing rounded quarterly EPS or relying on presentation shortcuts can produce a different number; the filing is the controlling reference.

The issuer's technology chart assigns approximately 39.35% of second-quarter CCL revenue to extremely and super-low-loss materials, 30.65% to very-low and low-loss, 15.69% to HDI and normal-low-loss, and 14.32% to

other products. These categories are not automatically identical to BofA's M7-and-above classification.

July and August monthly sales were NT$5.908 billion and NT$5.915 billion in the exchange's issuer-reported API. September sales of NT$6.126 billion were reported in the issuer announcement republished by financial news services, implying third-quarter revenue of NT$17.948 billion. The primary monthly API captured for this review still lagged at August; September's direct primary capture remains a precise source gap. Third-quarter profit is still modeled, not reported.

Capacity, startup expense and retained margin

The original Thailand plan described an initial 300,000 sheets per month, with eventual expansion to 900,000-1.2 million subject to customer orders. The official opening was May 13, 2025. The eventual figure should not be labeled current installed or qualified capacity. Thailand recorded a first-half 2026 loss of NT$224 million, evidence that physical presence and profitable utilization are different stages.

The June filing records Thailand equipment contracts of NT$3.671 billion, with NT$2.865 billion paid and NT$0.807 billion outstanding. The model allows that investment to support growth only as customer qualifications, yield and shipment acceptance progress. BofA's expectation of a Thailand breakeven or profitable third quarter is a forward signal, not a reported result.

Specialized cloth and copper foil can raise product value and constrain supply, but also increase costs. BofA's price sensitivity shows that the net-income benefit of a 1% selling-price rise is materially smaller when input costs rise with it. That sensitivity is not applied directly to operating profit. The model instead computes gross profit by product group and subtracts explicit operating expense.

Active model and overlap discipline

The financial model groups extremely and super-low-loss material separately from the rest. Product gross margins are analytical proxies because the issuer does not disclose them. A 40.6% high-grade margin and an approximately 22.65% other margin at the June product mix reconcile to the reported company margin. Whole-company product allocation uses the disclosed CCL mix as a proxy and places residual products in the other group.

Reference revenue is NT$103 billion in 2027 and NT$142 billion in 2028. The conditional positive path uses the bank's NT$112.263 billion and NT$164.882 billion revenue endpoints, but calculates its own product gross profit and operating costs. It therefore does not copy the bank's profit forecast, target or multiple. The positive case includes richer qualified mix and extra qualification expense.

For 2027-28, the model assigns 35% to the positive branch, 15% to a recipe/cost/ramp setback and 50% to reference. The adverse branch lowers sales by 4% in 2027 and 7% in 2028, reduces high-grade share and retained product margins, and adds operating expense. These are mutually exclusive paths, not independent deductions stacked on top of one another. Optical-module demand, AI boards, grade transition, capacity and utilization are overlapping explanations for the same revenue path.

The reference path is already aggressive. The 35% positive probability applies only to the increment above reference; it is not a 35% probability assigned to all the growth in the model. By Q4 2028, reference good-unit output is assumed to reach 1.60 times Q3 2026, while realized revenue per unit reaches approximately 1.393 times, reflecting recipe mix and retained pricing. No current total qualified-capacity disclosure verifies that combined path. A 10% revenue shortfall at unchanged product mix and gross margins, with operating expense fixed in dollars, reduces 2027 reference operating profit from NT$28.219 billion to NT$24.779 billion and 2028 from NT$40.546 billion to NT$35.667 billion. A one-percentage-point gross-margin reduction removes NT$1.030

billion and NT$1.420 billion respectively. These sensitivities expose the operating assumptions independently of the probability overlay.

The resulting active revenue is NT$105.624 billion in 2027 and NT$148.518 billion in 2028. Active operating profit is NT$28.909 billion and NT$42.413 billion respectively. These are conditional model outcomes. The model does not claim that group margins or future capacity are company guidance. Later 2029-30 quarters allow growth with margin normalization and lower positive probabilities; they are materially less certain.

Shares and cash are central to the result

The June presentation labels 290.463 million shares as outstanding, but the reviewed filing identifies that number as the first-half weighted basic average. It is not the current issued count. The October 6 exchange quote data gives approximately 299.493 million shares, while the issuer-basic API gives 299.460 million, a 33,000-share timing difference. The larger count is used.

Old convertible bonds were fully converted by June 30. Their historical 7.270 million weighted quarterly dilution must not be added again to the current issued count. Remaining employee options were approximately 3.946 million, with a disclosed weighted exercise price of NT$165.72. A treasury-stock-method allowance and a small remuneration allowance bring the initial modeled diluted denominator to approximately 303.16 million.

The board authorized up to NT$10 billion of new five-year, zero-coupon convertible bonds on July 29, at an issue price no lower than 110% of face. Final conversion terms were not established in the material reviewed. The model assigns a 75% financing probability and uses NT$2,000 as a labeled conversion-price assumption, bounded by NT$1,650-2,500. The central conditional issue would add 5 million shares; the weighted allowance is 3.75 million from 2027. No interest saving is added to operating profit and the financing proceeds are not separately capitalized as earnings.

This funding allowance has an economic basis. First-half operating cash flow was negative NT$2.282 billion despite reported profit. Cash equipment purchases and prepayments totaled NT$1.634 billion. Receivables and notes consumed approximately NT$7.037 billion and inventory another NT$2.968 billion, partly offset by NT$1.726 billion of payables. Receivable days were approximately 130 and inventory days 91.

June cash was NT$5.513 billion against NT$6.546 billion of bank debt. Including NT$1.241 billion of liquid amortized-cost financial assets changes a cash-only net-debt position into modest net cash. Neither presentation removes the need to fund expanding working capital.

Valuation, score and the next tests

The model uses 20 times forward-four-quarter operating profit per diluted share. Each quarter uses that quarter plus the next three quarters. The Q4 2027 ceiling is approximately NT$2,541. It is conditional on qualified growth, retained margins and prospective dilution. It is not an imported analyst target or an enterprise-value calculation.

The analytical score is 43 out of 60, rounded Base 72: Core 16, Cycle 8, TAM 8, Catalysts 4, Macro 8, Alpha 3, less 4 for risk. Qualified recipes and a changing high-speed mix support the case. Cash absorption, financing, startup losses and uncertain next-generation recipe selection limit conviction.

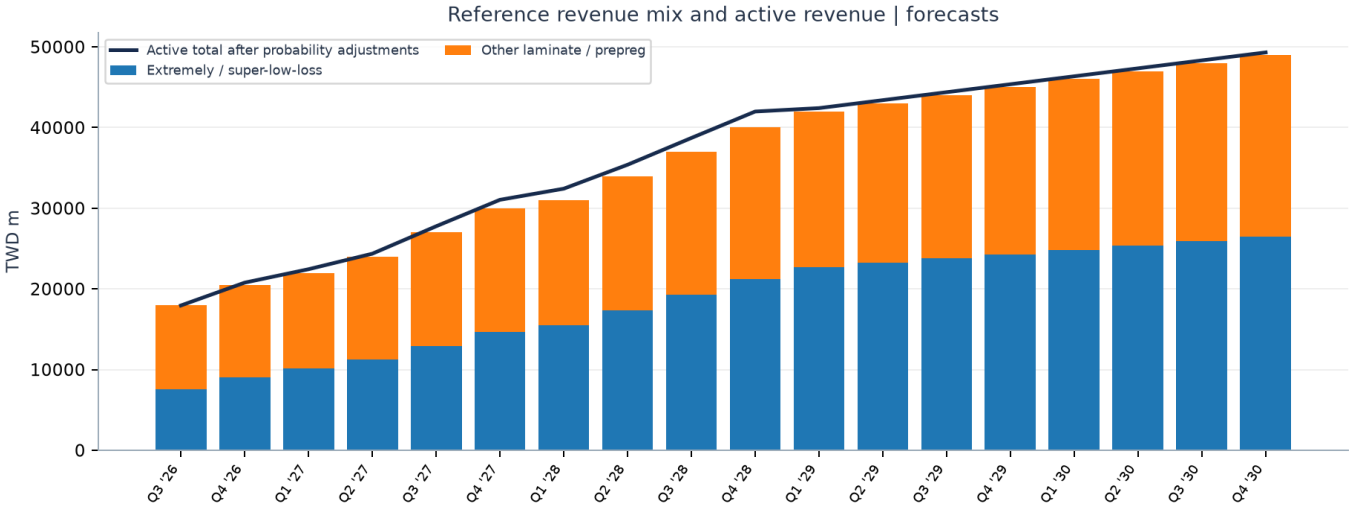
The next evidence should resolve third-quarter profitability, Thailand progress, convertible terms and customer qualification. The thesis improves if high-grade shipments grow with stable retained gross profit and cash collection. It weakens if price increases mainly reimburse input costs, if new capacity remains unqualified, or if financing expands faster than earnings per share.

Sources: Taiwan Union investor materials, official product specification, M10/M11 event notice, TPEx issuer and quote data, reviewed June 2026 and audited 2025 filings from the Taiwan exchange document service. Industry projections are attributed to the supplied BofA report dated October 5, 2026.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	16	See the scoring evidence and distinct risk classes in the analysis.
Cycle	8	See the scoring evidence and distinct risk classes in the analysis.
TAM	8	See the scoring evidence and distinct risk classes in the analysis.
Catalysts	4	See the scoring evidence and distinct risk classes in the analysis.
Macro	8	See the scoring evidence and distinct risk classes in the analysis.
Alpha	3	See the scoring evidence and distinct risk classes in the analysis.
Risk classes	-4	See the scoring evidence and distinct risk classes in the analysis.
Total	43/60	Rounded Base 72. Both artifact and new workbook row use this score; this is not a manual override.

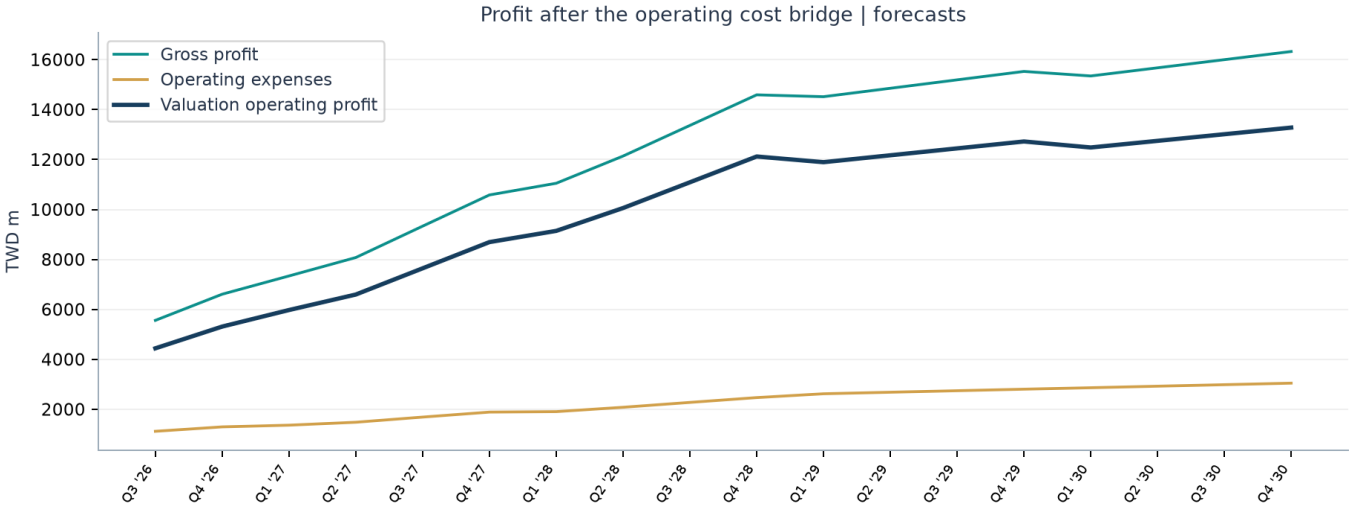
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	17,948.2	0.0	17,948.2
Q4 2026	20,500.0	280.0	20,780.0
Q1 2027	22,000.0	442.3	22,442.3
Q2 2027	24,000.0	368.0	24,368.0
Q3 2027	27,000.0	766.2	27,766.2
Q4 2027	30,000.0	1,047.5	31,047.5
Q1 2028	31,000.0	1,424.5	32,424.5
Q2 2028	34,000.0	1,393.0	35,393.0
Q3 2028	37,000.0	1,711.5	38,711.5
Q4 2028	40,000.0	1,988.7	41,988.7
Q1 2029	42,000.0	412.0	42,412.0
Q2 2029	43,000.0	398.0	43,398.0
Q3 2029	44,000.0	384.0	44,384.0
Q4 2029	45,000.0	370.0	45,370.0
Q1 2030	46,000.0	356.0	46,356.0
Q2 2030	47,000.0	342.0	47,342.0
Q3 2030	48,000.0	328.0	48,328.0
Q4 2030	49,000.0	314.0	49,314.0

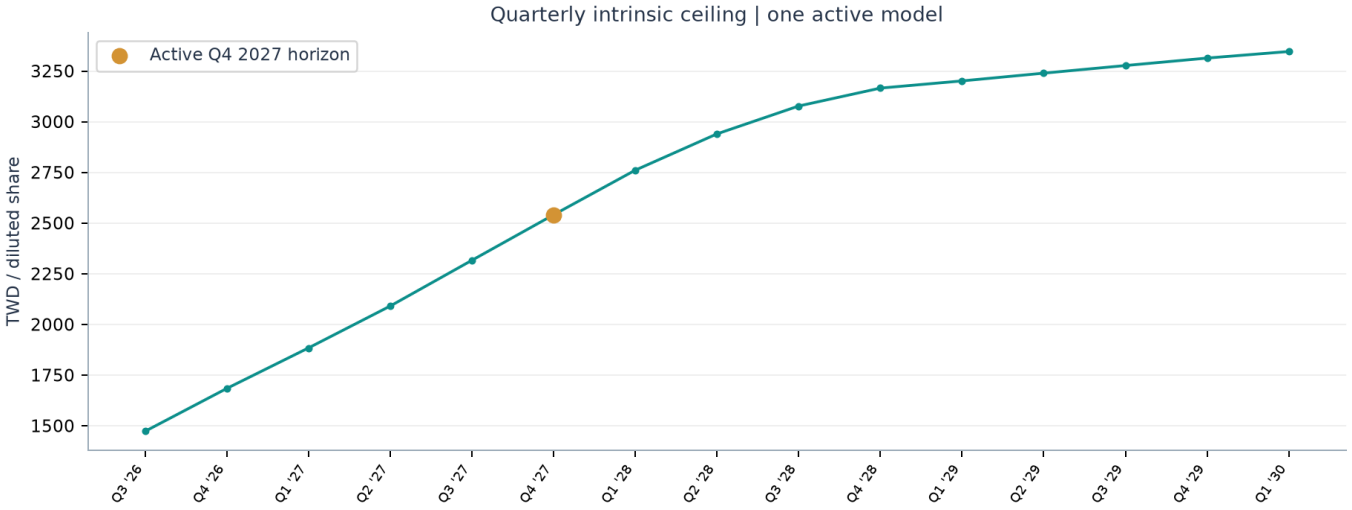
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	17,948.2	5,560.3	1,119.1	4,441.3	24.7%
Q4 2026	20,780.0	6,608.0	1,295.8	5,312.2	25.6%
Q1 2027	22,442.3	7,338.8	1,364.3	5,974.5	26.6%
Q2 2027	24,368.0	8,076.6	1,481.4	6,595.3	27.1%
Q3 2027	27,766.2	9,332.6	1,688.0	7,644.6	27.5%
Q4 2027	31,047.5	10,582.1	1,887.5	8,694.6	28.0%
Q1 2028	32,424.5	11,050.1	1,906.2	9,144.0	28.2%
Q2 2028	35,393.0	12,139.0	2,080.7	10,058.4	28.4%
Q3 2028	38,711.5	13,364.6	2,275.8	11,088.8	28.6%
Q4 2028	41,988.7	14,590.3	2,468.5	12,121.8	28.9%
Q1 2029	42,412.0	14,516.3	2,622.1	11,894.2	28.0%
Q2 2029	43,398.0	14,853.5	2,683.0	12,170.5	28.0%
Q3 2029	44,384.0	15,190.8	2,744.0	12,446.8	28.0%
Q4 2029	45,370.0	15,528.0	2,804.9	12,723.1	28.0%
Q1 2030	46,356.0	15,346.7	2,863.6	12,483.1	26.9%
Q2 2030	47,342.0	15,672.9	2,924.5	12,748.4	26.9%
Q3 2030	48,328.0	15,999.1	2,985.4	13,013.7	26.9%
Q4 2030	49,314.0	16,325.3	3,046.3	13,279.0	26.9%

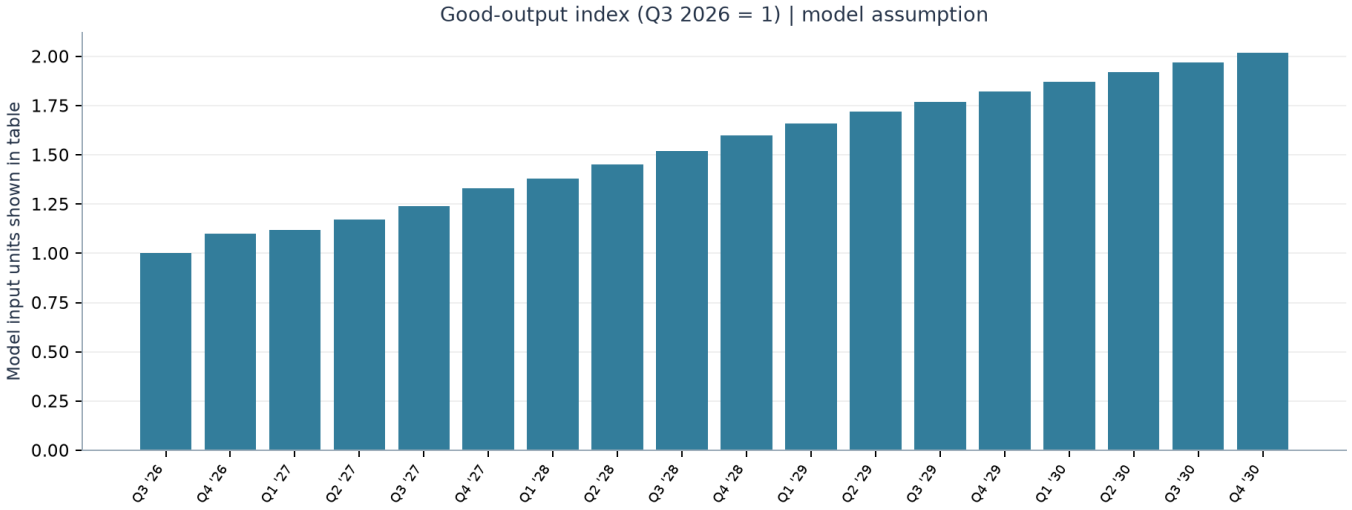
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Exact earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 + Q4 2026 + Q1 2027 + Q2 2027	22,323.3	20x	303.159	1,472.71
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027	25,526.6	20x	303.159	1,684.04
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027	28,908.9	20x	306.909	1,883.88
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028	32,078.4	20x	306.909	2,090.42
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028	35,541.5	20x	306.909	2,316.09
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028	38,985.7	20x	306.909	2,540.54
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028	42,412.9	20x	307.259	2,760.72
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029	45,163.2	20x	307.259	2,939.74
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029	47,275.3	20x	307.259	3,077.23
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029	48,633.3	20x	307.259	3,165.62
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029	49,234.6	20x	307.609	3,201.12
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030	49,823.5	20x	307.609	3,239.40
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030	50,401.4	20x	307.609	3,276.98
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030	50,968.3	20x	307.609	3,313.83
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030	51,524.2	20x	307.959	3,346.17

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Good-output index (Q3 2026 = 1)	Status
Q3 2026	1.000	ASTRA model / proxy output
Q4 2026	1.100	ASTRA model / proxy output
Q1 2027	1.120	ASTRA model / proxy output
Q2 2027	1.170	ASTRA model / proxy output
Q3 2027	1.240	ASTRA model / proxy output
Q4 2027	1.330	ASTRA model / proxy output
Q1 2028	1.380	ASTRA model / proxy output
Q2 2028	1.450	ASTRA model / proxy output
Q3 2028	1.520	ASTRA model / proxy output
Q4 2028	1.600	ASTRA model / proxy output
Q1 2029	1.660	ASTRA model / proxy output
Q2 2029	1.720	ASTRA model / proxy output
Q3 2029	1.770	ASTRA model / proxy output
Q4 2029	1.820	ASTRA model / proxy output
Q1 2030	1.870	ASTRA model / proxy output
Q2 2030	1.920	ASTRA model / proxy output
Q3 2030	1.970	ASTRA model / proxy output
Q4 2030	2.020	ASTRA model / proxy output

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Extremely / super-low-loss	7,538.2	42.0%	3,166.1
Q3 2026	Other laminate / prepreg	10,409.9	23.0%	2,394.3
Q4 2026	Extremely / super-low-loss	9,020.0	43.0%	3,878.6
Q4 2026	Other laminate / prepreg	11,480.0	23.0%	2,640.4
Q1 2027	Extremely / super-low-loss	10,120.0	44.0%	4,452.8
Q1 2027	Other laminate / prepreg	11,880.0	23.0%	2,732.4
Q2 2027	Extremely / super-low-loss	11,280.0	44.5%	5,019.6
Q2 2027	Other laminate / prepreg	12,720.0	23.0%	2,925.6
Q3 2027	Extremely / super-low-loss	12,960.0	45.0%	5,832.0
Q3 2027	Other laminate / prepreg	14,040.0	23.0%	3,229.2
Q4 2027	Extremely / super-low-loss	14,700.0	45.5%	6,688.5
Q4 2027	Other laminate / prepreg	15,300.0	23.0%	3,519.0
Q1 2028	Extremely / super-low-loss	15,500.0	45.0%	6,975.0
Q1 2028	Other laminate / prepreg	15,500.0	23.0%	3,565.0
Q2 2028	Extremely / super-low-loss	17,340.0	45.0%	7,803.0
Q2 2028	Other laminate / prepreg	16,660.0	23.0%	3,831.8
Q3 2028	Extremely / super-low-loss	19,240.0	45.0%	8,658.0
Q3 2028	Other laminate / prepreg	17,760.0	23.0%	4,084.8
Q4 2028	Extremely / super-low-loss	21,200.0	45.0%	9,540.0
Q4 2028	Other laminate / prepreg	18,800.0	23.0%	4,324.0
Q1 2029	Extremely / super-low-loss	22,680.0	44.0%	9,979.2
Q1 2029	Other laminate / prepreg	19,320.0	23.0%	4,443.6
Q2 2029	Extremely / super-low-loss	23,220.0	44.0%	10,216.8
Q2 2029	Other laminate / prepreg	19,780.0	23.0%	4,549.4
Q3 2029	Extremely / super-low-loss	23,760.0	44.0%	10,454.4
Q3 2029	Other laminate / prepreg	20,240.0	23.0%	4,655.2
Q4 2029	Extremely / super-low-loss	24,300.0	44.0%	10,692.0
Q4 2029	Other laminate / prepreg	20,700.0	23.0%	4,761.0
Q1 2030	Extremely / super-low-loss	24,840.0	42.0%	10,432.8
Q1 2030	Other laminate / prepreg	21,160.0	23.0%	4,866.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	Extremely / super-low-loss	25,380.0	42.0%	10,659.6
Q2 2030	Other laminate / prepreg	21,620.0	23.0%	4,972.6
Q3 2030	Extremely / super-low-loss	25,920.0	42.0%	10,886.4
Q3 2030	Other laminate / prepreg	22,080.0	23.0%	5,078.4
Q4 2030	Extremely / super-low-loss	26,460.0	42.0%	11,113.2
Q4 2030	Other laminate / prepreg	22,540.0	23.0%	5,184.2

Operating-cost derivation

Quarter	R&D	Selling	Administration / credit
Q3 2026	170.5	565.4	376.9
Q4 2026	194.8	645.8	430.5
Q1 2027	209.0	693.0	418.0
Q2 2027	228.0	756.0	456.0
Q3 2027	256.5	850.5	513.0
Q4 2027	285.0	945.0	570.0
Q1 2028	294.5	976.5	527.0
Q2 2028	323.0	1,071.0	578.0
Q3 2028	351.5	1,165.5	629.0
Q4 2028	380.0	1,260.0	680.0
Q1 2029	399.0	1,323.0	840.0
Q2 2029	408.5	1,354.5	860.0
Q3 2029	418.0	1,386.0	880.0
Q4 2029	427.5	1,417.5	900.0
Q1 2030	437.0	1,449.0	920.0
Q2 2030	446.5	1,480.5	940.0
Q3 2030	456.0	1,512.0	960.0
Q4 2030	465.5	1,543.5	980.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	Qualified mix / ramp	35%	0.0	0.0	17.9	-6.3
Q3 2026	Adverse recipe / cost	0%	0.0	0.0	0.0	0.0
Q4 2026	Qualified mix / ramp	35%	800.0	254.4	70.9	64.2
Q4 2026	Adverse recipe / cost	0%	0.0	0.0	0.0	0.0
Q1 2027	Qualified mix / ramp	35%	1,641.0	722.7	122.1	210.2
Q1 2027	Adverse recipe / cost	15%	-880.0	-662.3	10.6	-100.9
Q2 2027	Qualified mix / ramp	35%	1,463.0	689.9	113.2	201.8
Q2 2027	Adverse recipe / cost	15%	-960.0	-733.7	11.5	-111.8
Q3 2027	Qualified mix / ramp	35%	2,652.0	1,134.6	188.8	331.1
Q3 2027	Adverse recipe / cost	15%	-1,080.0	-838.1	13.0	-127.7
Q4 2027	Qualified mix / ramp	35%	3,507.0	1,475.6	243.9	431.1
Q4 2027	Adverse recipe / cost	15%	-1,200.0	-945.4	14.4	-144.0
Q1 2028	Qualified mix / ramp	35%	5,000.0	2,004.2	326.0	587.4
Q1 2028	Adverse recipe / cost	15%	-2,170.0	-1,275.5	-39.4	-185.4
Q2 2028	Qualified mix / ramp	35%	5,000.0	2,044.5	329.0	600.4
Q2 2028	Adverse recipe / cost	15%	-2,380.0	-1,408.9	-43.2	-204.9
Q3 2028	Qualified mix / ramp	35%	6,000.0	2,438.4	391.0	716.6
Q3 2028	Adverse recipe / cost	15%	-2,590.0	-1,544.1	-47.0	-224.6
Q4 2028	Qualified mix / ramp	35%	6,882.0	2,795.5	446.0	822.3
Q4 2028	Adverse recipe / cost	15%	-2,800.0	-1,681.0	-50.8	-244.5
Q1 2029	Qualified mix / ramp	25%	4,000.0	1,773.8	290.0	371.0
Q1 2029	Adverse recipe / cost	20%	-2,940.0	-1,749.8	-62.2	-337.5
Q2 2029	Qualified mix / ramp	25%	4,000.0	1,782.5	291.0	372.9
Q2 2029	Adverse recipe / cost	20%	-3,010.0	-1,791.4	-63.6	-345.6
Q3 2029	Qualified mix / ramp	25%	4,000.0	1,791.2	292.0	374.8
Q3 2029	Adverse recipe / cost	20%	-3,080.0	-1,833.1	-65.1	-353.6
Q4 2029	Qualified mix / ramp	25%	4,000.0	1,799.9	293.0	376.7
Q4 2029	Adverse recipe / cost	20%	-3,150.0	-1,874.8	-66.6	-361.6
Q1 2030	Qualified mix / ramp	20%	5,000.0	2,091.4	356.0	347.1
Q1 2030	Adverse recipe / cost	20%	-3,220.0	-1,856.0	-68.1	-357.6

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2030	Qualified mix / ramp	20%	5,000.0	2,099.8	357.0	348.6
Q2 2030	Adverse recipe / cost	20%	-3,290.0	-1,896.3	-69.6	-365.4
Q3 2030	Qualified mix / ramp	20%	5,000.0	2,108.2	358.0	350.0
Q3 2030	Adverse recipe / cost	20%	-3,360.0	-1,936.7	-71.0	-373.1
Q4 2030	Qualified mix / ramp	20%	5,000.0	2,116.6	359.0	351.5
Q4 2030	Adverse recipe / cost	20%	-3,430.0	-1,977.0	-72.5	-380.9

Claim decisions, overlap and triggers

Evidence decision

signal: High-speed recipe transition and qualified Thailand ramp

source: BofA Oct5 + issuer mix/technical products + actual acceleration

p: 0.35

Conditional: 2027 revenue112263;2028 164882 versusreference103000/142000. Higher ELL/SLL mix1.5pp and groupGM1pp; extraqualificationopex10bp.

overlap: Full positive end-to-end path; no extra separate M9, optical-module TAM, price elasticity, capacity or utilization shock. Q3 actual revenue already in reference.

recognition: Shipments and customer acceptance throughout2027-28, not machine order date.

Evidence decision

signal: Recipe substitution, copper/cloth cost and ramp delay

p: 0.15

Conditional: 2027 revenue4%belowreference;2028 7%below. ELL/SLL mix3pp lower, groupGM2pp lower, otherGM0.5pp lower, extraopex30bp.

overlap: Mutually exclusive adverse branch rather than independent correlated deductions. Includes PTFE/HC displacement and startup inefficiency jointly.

Evidence decision

signal: M10/M11 technical event

p: 0.35

increment: 0

reason: Technical capability already in high-speed branch. Event announcement is not additional qualified volume; assigning another market increment would duplicate the recipe transition.

Remaining bounded uncertainties

- Final sixth-convert issue/conversion terms and timing
- Q3 profitability and official September primary capture
- Current total high-grade qualified capacity, yields and product/customer allocations
- Exact ELL/SLL to M7+ mapping
- Reason and persistence of Q2 high effective tax rate
- Later capacity beyond2028

Selected original evidence

Source exhibit 1

Issuer source retained in the evidence manifest | Official Q2 presentation income table; TWD millions. Its outstanding-share footer is H1 weighted average, not current issued shares.

(In NT$ millions unless otherwise noted)	2Q26	1Q26	2Q25	2Q26 Over 1Q26	2Q26 Over 2Q25
Net Revenue	14,301	10,054	6,780	42.2%	110.9%
Gross Margin	**29.7%**	**25.2%**	**21.2%**	**4.6 ppts**	**8.6 ppts**
Operating Expenses	892	701	583	27.2%	53.0%
Operating Margin	**23.5%**	**18.2%**	**12.6%**	**5.3 ppts**	**10.9 ppts**
Non-Operating Items	69	46	(13)	49.0%	-631.3%
Net Income	2,342	1,260	652	85.8%	259.3%
Net Profit Margin	**16.4%**	**12.5%**	**9.6%**	**3.8 ppts**	**6.8 ppts**
EPS (NT Dollar)	8.02	4.36	2.36	83.9%	239.8%
ROE	33.7%	27.5%	19.5%	**6.2ppts**	**14.2 ppts**

Official Q2 presentation income table; TWD millions. Its outstanding-share footer is H1 weighted average, not current issued shares. Original units and footnotes apply.

Source exhibit 2

Issuer source retained in the evidence manifest | Official balance-sheet presentation: receivables and inventory absorb cash; its PPE presentation includes equipment prepayments.

Selected Items from Balance Sheets (In NT$ millions)	2Q26		1Q26		2Q25	
	Amount	%	Amount	%	Amount	%
Cash & Marketable Securities	6,755	14.4%	9,736	22.0%	5,181	21.0%
Accounts Receivable	20,857	44.4%	16,164	36.5%	9,517	38.5%
Inventories	10,077	21.5%	9,809	22.2%	3,717	15.0%
Net PP&E	8,425	17.9%	7,647	17.3%	5,634	22.8%
Total Assets	**46,943**	**100.0%**	**44,258**	**100.0%**	**24,720**	**100.0%**
Current Liabilities	18,580	39.6%	18,826	42.5%	7,665	31.0%
Long-term Interest-bearing Debts	3,652	7.8%	3,419	7.7%	2,132	8.6%
Bonds payable		0.0%	3,638	8.2%	1,906	7.7%
Total Liabilities	**22,789**	**48.5%**	**26,196**	**59.2%**	**11,874**	**48.0%**
Total Shareholders' Equity	**24,154**	**51.5%**	**18,062**	**40.8%**	**12,846**	**52.0%**
Key Indices						
A/R Turnover Days	130		136		133	
Inventory Turnover Days	91		104		62	
Current Ratio (x)	2.1		1.9		2.5	
Asset Productivity (x)	6.3		5.5		5.3	

Official balance-sheet presentation: receivables and inventory absorb cash; its PPE presentation includes equipment prepayments. Original units and footnotes apply.

Source exhibit 3

Issuer source retained in the evidence manifest | Official quarterly cash-flow chart; earnings have not yet converted to operating cash.

(In NT$ millions)	2Q26	1Q26	2Q25
Beginning Balance	**5,992**	**5,165**	**5,934**
Cash from operating activities	(716)	(1,568)	661
Capital expenditures	(940)	(693)	(177)
Short-term loans	396	384	0
Investments and others	781	2,704	(2,322)
Ending Balance	**5,513**	**5,992**	**4,096**
Free Cash Flow*	(1,656)	(2,261)	484

Official quarterly cash-flow chart; earnings have not yet converted to operating cash. Original units and footnotes apply.

Source exhibit 4

Issuer source retained in the evidence manifest | Reviewed filing: basic and diluted weighted shares. Historical convertible dilution must not be added again after conversion.

二四、每股盈餘

單位：每股元

	115年4月1日至6月30日	114年4月1日至6月30日	115年1月1日至6月30日	114年1月1日至6月30日
基本每股盈餘	$ 8.02	$ 2.36	$ 12.40	$ 4.79
稀釋每股盈餘	$ 7.76	$ 2.25	$ 11.97	$ 4.57

用以計算每股盈餘之盈餘及普通股加權平均股數如下：

本期淨利

	115年4月1日至6月30日	114年4月1日至6月30日	115年1月1日至6月30日	114年1月1日至6月30日
歸屬於台燿公司業主之淨利	$ 2,341,670	$ 651,731	$ 3,601,714	$ 1,323,678
具稀釋作用潛在普通股之影響：				
可轉換公司債稅後利息	9,151	3,425	24,910	6,850
用以計算稀釋每股盈餘之盈餘	$ 2,350,821	$ 655,156	$ 3,626,624	$ 1,330,528

股　　數

單位：仟股

	115年4月1日至6月30日	114年4月1日至6月30日	115年1月1日至6月30日	114年1月1日至6月30日
用以計算基本每股盈餘之普通股加權平均股數	292,053	276,306	290,463	276,260
具稀釋作用潛在普通股之影響：				
員工認股權	3,591	638	3,448	731
員工酬勞	93	188	320	425
可轉換公司債	7,270	13,804	8,838	13,804
用以計算稀釋每股盈餘之普通股加權平均股數	303,007	290,936	303,069	291,220

若合併公司得選擇以股票或現金發放員工酬勞，則計算稀釋每股盈餘時，假設員工酬勞將採發放股票方式，並於該潛在普通股具有稀釋作用時計入加權平均流通在外股數，以計算稀釋每股盈餘。於次年度股東會決議員工酬勞發放股數前計算稀釋每股盈餘時，亦繼續考量該等潛在普通股之稀釋作用。

Reviewed filing: basic and diluted weighted shares. Historical convertible dilution must not be added again after conversion. Original units and footnotes apply.

Source exhibit 5

Issuer source retained in the evidence manifest | Reviewed option schedule; remaining options and exercise prices inform forward dilution.

二五、股份基礎給付協議

台燿公司員工認股權計畫

本公司分別於 109 年 10 月及 113 年 11 月給與員工認股權 3,000 單位及 3,000 單位，每一單位可認購普通股 1,000 股。給與對象包含本公司符合特定條件之員工。認股權之存續期間為 6 年，憑證持有人於發行屆滿 2 年之日起，可行使被給與之一定比例之認股權。認股權行使價格為發行當日本公司普通股收盤價格，認股權發行後，遇有本公司普通股股份發生變動時，認股權行使價格依規定公式予以調整。

員工認股權相關資訊如下：

	115年1月1日至6月30日		114年1月1日至6月30日	
員工認股權	單位（仟）	加權平均執行價格（元）	單位（仟）	加權平均執行價格（元）
期初流通在外	4,064.00	$163.66	1,562.25	$167.78
本期執行	(118.25)	77.2	(339.00)	79.84
期末流通在外	3,945.75	165.72	1,223.25	192.15
期末可執行	964.75	76.2	1,223.25	77.20

於 115 年及 114 年 1 月 1 日至 6 月 30 日執行之員工認股權，其於執行日之加權平均股價分別為 934.7 元及 167.28 元。

截至資產負債表日，流通在外之員工認股權相關資訊如下：

	115年6月30日		114年6月30日	
給與日	執行價格之範圍（元）	加權平均剩餘合約期限（年）	執行價格之範圍（元）	加權平均剩餘合約期限（年）
109.10.28	$ 76.2-77.2	0.33	$ 77.2-80.2	1.33
113.11.18	143.8-145.8	4.38	145.8-151.5	5.38

115 年及 114 年 1 月 1 日至 6 月 30 日認列之酬勞成本分別為 24,581 仟元及 24,581 仟元。

Reviewed option schedule; remaining options and exercise prices inform forward dilution. Original units and footnotes apply.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q2_2026_en-us.pptx

https://www.tuc.com.tw/_run.php?work=down&file=4d8865243468466fd483200277c1932a88ef58c5.pptx&name=TUC%202026Q2%20%E6%B3%95%E8%AA%AA%E6%9C%83%20%28%E8%8B%B1%E6%96%87%29.pptx

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[2] Q1_2026_en-us.pdf

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Archived source SHA-256: bdcba573890926700bddc82c7cebd0146952da1c5a05603287b11a0a10ad18be

[3] FY2025_en-us.pdf

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[4] Q2_2026_zh-tw.pptx

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[5] Q1_2026_zh-tw.pdf

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[6] Financials_zh-tw.zip

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[7] FY2025_zh-tw.pdf

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[8] Q2_2026_CH_financials.pdf

https://doc.twse.com.tw/server-java/t57sb01?co_id=6274&colorchg=1&mtype=A&step=1&year=115

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[9] FY2025_full_CH.pdf

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Model formulas: reference GP sums product revenue x GM; reference OP deducts specified costs. Each conditional revenue/GP/cost delta is multiplied by its probability once. The ceiling uses the sum of four consecutive quarterly valuation operating profits x the stated multiple / diluted shares at the starting quarter. Net cash, debt and minority claims follow the company-specific method explanation.